1. Financial Accounting

1.1. Income Statements

- Sole trader is the owner of the business who runs the business on their own.
- Financial statements (generally):

Income Statement	Trading A/C (give gross profit) and Profit and Loss A/C (give net profit)
Balance Sheet/Statement of Financial Position	Show that ASSETS= CAPITAL + LIABILITIES

- The aim of business is to make a profit; this is calculated in the financial statements which are usually prepared at the end of a financial year.
- Financial statements are prepared from the trial balance
- Trading A/C: concerned with buying and selling goods, calculates gross profit (SPOG- COS).
  - SPOG (of goods sold) = net sales (Sales less returns)
  - COS= total cost of goods only sold, i.e. Not always all the goods bought.
  - COS= OS+P (net purchases, less any additional purchases drawings and/or returns)– CS
  - P(net)= Purchases - Purchases Returns + Carriage inwards- goods for own use.

NOTE: Cash discount/discount allowed and discount received will not be included in the trading A/C as they arise from the early payment of debts, and are not sales related.

- The income statement (PNL and Trading A/C) should have a heading regarding the financial year/period covered and the name of the business trading.
- A trading A/C can be prepared using a horizontal format (similar to a T Ledger A/C) or a vertical format.
- The trading account is the part of the income statement, it is the part until the gross profit
- The profit and loss A/C is concerned with profits, loss, gains and expenses and other income (e.g. commission)/expenses (running expenses). This gives you the profit for the year/ net profit (Gross profit + other income –other expenses)
- The expenses/ income A/C have to be credited/debited (respectively) to be transferred to the IS
- Only the expenses & income that pertain to the financial year end date have to be transferred to the income statement- matching concept. This means that only the opening prepaid balance and the closing accrued balances are included in the IS.
- In the income/expenses A/C, whenever details are not given and only totals are given, they can be entered as 'totals to date'
- Other than the inventory, gross profit and net profit, only one entry is made (IN THE INCOME STATEMENT) to transfer the balances to the IS.
- The opening stock of one year is equivalent to the closing stock of the previous year.
- The income statement has 2 entries regarding the inventory A/C (IN THE INCOME STATEMENT), one to transfer the balance at the start of the year as the opening stock/inventory and at the end of the year from the income statement to the inventory A/C to show the closing stock/inventory (indirectly credited from IS as it is shown as a deduction from the expenses)
- The net profit is the return received by the owner for their investment (increases amount owed to owner) and shall be debited from IS and credited to the capital A/C and vice versa for a net loss (as it reduces the amount owed to the owner.)
- The income statement of a service business (E.g.: accountant) (One who does not buy or sell goods) will not have a trading A/C as no goods are bought and sold/ Only a PNL is prepared, however the balance sheet stays the same. There will be only the titles of Income and Expenses

Income statement for the year ending 31 dec 2020

	$	$
revenue		
Less : return inwards		
Less : cost of sales		
Opening inventory		
purchases		
Less : purchase returns		
Less : goods for drawings		
Add: carriage inward		
Less : closing inventory		
Cost of sales		
Gross profit		
Add : other income (discount received, rent received)		
Less : expenses (wages and salaries, rent and rates, telephone, insurance, etc)		
Operating profit		

1.2. Statement of financial position

- A SOFP of a business on a certain date and shows the assets of a business (what the business owns/ its resources) as being equal to its capital (amount owed to the owner by the business/owner's investment/equity) plus any other liabilities (amount owed to any external entity other than the owner). i.e. The assets show how the resources are being used and the liabilities (including the capital- for this case) show where these resources come from.
- Non-current liabilities are those which are not due in the next 12 months (E.g.: long term loans)
- Current liabilities are short term ones (due within the next 12 months) and arise from the regular trading activities of the business whose values constantly change (E.g.: trade payables & other payables)

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- Assets and liabilities are arranged in different groups:
  - Assets are divided into current (Values are constantly changing, short term assets which arise from the regular trading of the business, E.g.: Inventory) and non-current assets (long term assets which are not used for resale but help the business earn revenue. E.g.: Motor Vehicles)
  - Non-current assets are listed in order of increasing liquidity (liquid= least permanent) (The ability to be converted into cash), typically: Land and buildings, Machinery, Fixtures and equipment and motor vehicles.
  - Current assets are also listed in order of increasing liquidity (furthest away from cash shown first), typically: Inventory, Trade receivables, Other receivables, Bank, Cash. Trade receivables are said to be more liquid as compared to the inventory as they can be sold to other businesses.
  - Current and Non-current liabilities appear in ascending order of which liability must be paid first. Note: Other payables will appear after trade payables.
  - Other payables are accrued expenses or prepaid income, as the business owes to a third party in this circumstance.
  - Other receivables are accrued income and prepaid expenses as the business is owed by a third party in this circumstance.
- A SOFP should have the heading of the date to which it relates and must include the business's trading name.
- SOFPs can be prepared in the horizontal (2-sided) (typically assets on the left and liabilities on the right, but the reverse is acceptable) or a vertical format, which looks like an arithmetical calculation.
- After all the financial statements are prepared, every item on the trial balance must have one effect (either IS or SOFP) on the financial statements, and additional notes will have 2 effects on the financial statements (one on the IS and the other on the SOFP)
- The balance of the capital A/C will increase in the SOFP if the business has made a profit or decrease if the business has made a loss.
- If a vertical format of an SOFP has been prepared, the liabilities are shown after the assets to show where the resources come from (the reverse is OK).
- If more than one current liability is present, it is listed in the first column, totaled, and taken to the second column.
- The main advantage of a vertical SOFP is that it shows the net current assets/working capital (current assets- current liabilities), which is very important.
- The non-current liabilities can be listed before or after the capital.
- In the vertical format of SOFP, the Assets-Liabilities = Capital. Other formats keeping in line with the accounting equation are also acceptable.
- When the business makes a profit, it is added to the capital as the amount owed by the business increases, and thus, it can be concluded that a profit is an increase in net assets (capital)
- Amounts to be subtracted are put in parentheses to ensure they are not added.
- THE SOFP ALWAYS TALLIES unless you must find a balancing figure (you add the balancing figure to tally the SOFP).

~~Statement of financial position as of 31 December 2020~~

	$	$
Non-Current asset		
Premises		
Motor van		
Office furniture		
Current asset		
Closing inventory		
Trade receivables		
Cash and cash equivalents		
Total assets		
Capital and liabilities		
Capital on 1 January		
Add: profit for the year.		
Less: loss for the year		
Less: drawings		
Capital on 31 December		
Noncurrent liabilities		
Loan from Noor		
Current liabilities		
Trade payables		
Other payables		
Bank Overdraft		
Total liabilities and capital		

1.3. Accounting Principles and concepts

- Accounting principles are rules applied when recording transactions and preparing financial statements.
- Objectives of a set of financial statements is that they provide a true and fair view of the profit or loss of the company for the year, and that the SOFP likewise gives a true and fair view of the state of affairs of the company at the end of the financial year; true indicates if the transaction actually took place, fair implies transactions are shown in accordance with accepted accounting rules of cost and valuation.

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- There are 11 accounting principles and concepts
  - **Duality i**s the understanding that there are two aspects of each transaction. Credit and Debit. It also involves the accounting equation.
  - **Business Entity** - It is when the business and its owner are regarded as separate existence. A clear example of this concept is when the owner puts in capital into the business. The credit in the capital a/c shows that the business owes money to its owner.
  - **Money Measurement** - Transactions which can be measured in monetary terms are recorded in ledgers. The limitation is that non-monetary values such as skill/satisfaction cannot be measured.
  - **Historic Cos**t - Transactions are recorded at their cost to the business. This ensures objectivity but however doesn't consider the changing value of money.
  - **Realisation** - Revenue is accounted by the seller when it is **earned** whether cash is received or not
  - **Consistency** - Transactions of a similar nature must be recorded in the same way.
  - **Materiality -** Businesses might not record some transactions using the accounting principles as the transaction might be considered insignificant.
  - **Matching/accruals** - Revenue and income must not be earned more or less same applies to expenses which must not be more or less.
  - **Prudence** - Profits should not be overstated and losses should be provided for as soon as they are recognized
  - **Going Concern** - It is when there is no intention to stop the business in the coming future.
  - **Substance over form** - When recording a transaction, this concept states that the substance of the transaction should be recorded rather than its legal form. Ex. Legally, if a company doesn't fulfil the payment of a machine it goes back to the seller, but in substance the machine is the same as the others, its being used in the process, hence substance over form.
- Goods on sale or return basis – when a trader sells on sale or return basis to a customer, no sale takes place until the customer informs the seller that he has decided to buy them

1.4. Accruals and prepayments (the matching concept)

- Accruals are an expense which is due withing an accounting period but which has not been paid, in the statement of financial position, it is known as other payables.
- Prepayments are payments made by the business in advance of the benefits to be derived from them, this is entered as other receivables in the statement of financial position.
- ***Accrued expenses – amount owed to a creditor***

Expense account

2020	$	2020	$
Jan bal. b/d (previous year prepaid)	xx	Jan Bal b/d (previous year owing)	xx
Jan-nov bank	xxx	Dec 31 income statement	xxx
Dec 31 bal c/d (current year owing)	xx		
	XXX		XXX
		Jan 1 bal. b/d	xx

- Only **xxx** has been paid but a different amount(amount relevant to the year) will be dr in the Income Statement as it is the cost relating to that year, the bal. b/d will be shown in the SOFP under current liabilities as accrued expenses.
- The accrued amount is added to the expense account.
- **Prepaid expenses – payment in advance (debtor)**

expense account

2020	$	2020	$
Jan bal. b/d (previous year prepaid)	xx	Jan Bal b/d (previous year owing)	xx
Jan-dec bank	xxx	Dec 31 income statement	xxx
		Dec 31 bal c/d (current year prepaid)	xxx
	XXX		XXX
Jan 1 balance b/d	xx		

- The payments during the year add up by the bank but the income statement has been debited with rent for one year, the amount that relates to the next financial year is subtracted from the total amount and this amount is entered under the SOFP as other receivables under current assets.
- This amount is deducted from the expense amount in the trial balance while including in the IS.
- Inventory of stores as an expense accounts – inventories of consumable stores may be unused at the end of the year, as per matching concept these should not be charged against the profit as they are an asset, this is carried down as a dr balance hence why an expense account may have both dr and cr balances.
- Example: In the year ended 31 dec 2020, Mr. Ceyard had paid 1200 dollars for stationery, at year end he owed 270 dollars for stationery and had an inventory of unused stationery of 400 dollars.

Stationery Account

	2020	$		2020	$
Jan 1			Dec 31	Income statement	1070
Dec 31	Bank	1200	Dec 31	Inventory c/d	400
Dec 31	Amt owing c/d	270			
		1470			1470
2021			2021		
Jan 1	balance b/d	400	Jan 1	Balance b/d	270

- The amt owing is carried down and it is included under current liabilities as other payables in the SOFP while the 400 dollars of unused inventory would be under current assets as inventory of unused stationery.
- Adjusting for income prepayments – incomes received in advance of its due dates is a payable (income prepaid) and is therefore a credit balance and is under current liabilities in the SOFP. The amount prepaid is misused from the amount paid in the IS.
- Adjusting for income accrued – incomes accrued at the date it is due indicates existence of debtors and is therefore a debit balance, this is hence under current assets as other receivables in the SOFP, and it is added to the amount received in the bank in the IS.

Income account

	$		$
Balance b/d (owing previous year)	xxx	Bal b/d (previous year prepaid)	xx
Income statement	xxx	Bank account	xxx
Balance c/d (prepaid current year)	xxx	Bal c/d (current year owing)	xxx
	XXX		XXX
Balance b/d	xxx	Balance b/d	xxx

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1.5. Suspense account

- Suspense account: An account opened to record a difference between the debit and credit totals of the trial balance.
- The following checks are useful:
  - Check the additions of the trial balance
  - If difference is divisible by 2 then look for balance of half the difference on the wrong side
  - If the difference is divisible by 9 look for balances where digits have been reversed like 345 dollars entered instead of $354
  - Check totals of sales and purchase ledger against the control accounts
  - Check extraction of the balances
- If the cause of difference has not been found then a suspense account may be opened in order to temporarily balance the trial balance.
- A suspense account is opened in the general ledger with the balance on whichever side of the account will make the trial balance agree when the balance is inserted. If the total of the debit side of the trial balance is 200 dollars less than the credit side, the suspense account is opened will have a debit balance of $200
- Types of errors that call for a suspense account to be opened include:
  - When it's a single entry instead of a double entry
  - When entries have been made on the same side of two separate accounts
  - When the entries have been made on the correct side but the figures differ.
  - An item on the wrong side of an account must be corrected by an adjustment equal to twice the amount of the original error (once to cancel the error and once to place the item on the correct side of the account).
- Some errors do not affect the double entry; an example would be a balance on a sales ledger account copied incorrectly onto a summary of balances for inclusion in the trial balance. The summary of balances should be amended and a one-sided entry in the journal prepared to correct the suspense account. Such errors are not required to be corrected by debit and credit entries
- The types of errors that don't affect the trial balance and are hence not corrected by a suspense accounts are; error of original entry, error of principle, error of omission, error of commission, error of complete reversal and compensating errors.
- Note whether or not a narrative is required when preparing the journal entries.
- Revised profit or loss is calculated from the nominal account entries in the journal.

1.6. Provision for the depreciation of non current asset

- Capital income: Capital income is when the sale of an asset generates income/ Non-recurring income.
- Revenue incomes: Revenue income is income received by the sale of goods and services daily; day to day operations/ Income recurring every year.
- Capital expenditure: it is the use of funds by a company to purchase non current assets such as machinery which benefits the business over more than a year/ Non-recurring expenses
- Revenue expenditure: it is the use of funds by a company to run the day to day operations such as lunch for employees, fuel/ Expenses recurring every year.
- Depreciation is a part of the cost of a non current asset that is consumed during the period its used.
- Ex if a machine which lasts for 5 years is used for 1 year then the depreciation is the value of the machine which is used for a year. Depreciation has 2 methods to calculate the percentage or value to be reduced.
- Purpose of depreciation: the main purpose of depreciation is to spread the cost of the non-current asset to the useful life to cover the total cost within the period of usefulness. In simpler ways, it's to cover the cost with the money earned using the asset.
- Concepts that comply with depreciation:
  - Prudence concept – to avoid overstating the asset value and the profit for the year.
  - Matching concept –if cost of using non current asset was not included in the income statement or profit would be overstated.
  - Consistency – the same method is to be applied each year to reflect the usage of the asset(if changed the depreciation for the full life of the asset needs to be changed).
- Reasons for depreciation
  - Wear and tear
  - Obsolescence
  - Depletion
  - Passage of time
  - Using up or exhaustion (physical deterioration)
- How to calculate depreciation:
  - Straight line method: the total amount of depreciation is the total cost- the residual value or the value after it completes its period of usefulness . After finding that value ,it is then spread over the years of usefulness. Calculation formula:
  - cost of non current asset - residual value/period of usefulness in years
    - Ex. A machine worth 100,000 dollars has a usefulness of 10 years after which it would be sold for 1000 dollars. The total depreciation is 100,000-1000=99000 which when spread over 10 years comes around 9900 dollars per annum.
  - Reducing Balance method: the depreciation is taken by a fixed percentage on the net book value (written down value) of assets every year.
    - Ex. A machine costs 100,000 dollars and has a period of usefulness over 6 years. Depreciation is used to calculate for 20% per annum on reducing balance. Therefore, the results are in the table below.

	Calculation
Cost	100,000
Year1(20% x 100,000)	(20,000)
Net book value	80,000
Year2(20% x 80,000)	(16,000)
	64,000
Year3(20% x 64,000)	(12800)
	51,200
Year4(20% x 51,200)	(10,240)
	40,960
Year5(20% x 40,960)	(8,192)
	32,768
Year6(20% x 32,768)	(6,554)
	26,214

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Henceforth, the residual value is 26,214 dollars moreover if the company sells the machine for more than the residual value the company makes a profit where as if the company sells it for lesser than the residual value then the company makes a loss.

- **Revaluation method:** Used to calculate the cost of consumption in the accounting period of small non current asset such as power tool.
  - This is used to find how much to charge as an expense to the income statement when each tool may have a different useful life while their total value is large, and it may not cost enough to treat them separately.
  - **Opening valuation + purchase during year – closing value = depreciation charge**

When to choose which Depreciation.

- Straight line: usually used for assets that are expected to earn revenue evenly over useful life. Also for assets whose earning power is uncertain. This method is used for assets that have fixed lives (leases); easier to calculate, less risk of mistakes than reducing balance as the provision doesn't change annually.
- Reducing balance method: used when assets earning power will diminish as the asset ages. This is also used where assets loses more of its value in the early stages of life. Example; motor vehicles, computers. Advancements in technology affects value. Reducing charges for depreciation compensates for increasing repair costs as it ages.
- *Accounting for disposal of non current assets*:

1. Debit: Disposal a/c

Credit: Non current assets a/c(original cost**)

2. Debit: Provision for depreciation a/c

Credit: Disposal a/c

3. Debit: Bank a/c

Credit: Disposal a/c

4. A debit balance is a loss on disposal

A credit balance is a profit on disposal

Following are the three accounts when accounting for disposal.

Non current asset at Cost a/c

2020		$	2020		$
Jan 21	Bal b/d	xxxx	Dec 2 1	Non current asset disposal	xxx

Provision for depreciation for non current asset account

2020		$	2020		$	
	Dec 21	Non current asset disposal	xxx	Jan 21	Bal b/d	xxx

Non current asset disposal a/c

2020		$	2020		$
Dec 21	Non current asset at cost	xxx	Dec 21	Provision for depreciation	xxx
				Bank(proceeds)	xxx
			Dec 31	Income statement (loss on disposal)	xx
		xxx			xxx

- Part exchange: In part exchange, the company gives the machinery in exchange for a new machine. In this case, the exchange value of the asset being disposed will be debited to the non current assets a/c and then credited to the disposal a/c (in place of the proceedings as per usual procedure).
- A business may depreciate its assets either:
  - A full years depreciation
  - Month by month basis
  - Exceptional depreciation : when the amount recoverable on disposal is below it net book value this asset is said to be impaired, in this case this asset needs to be immediately written down to the amount which would be received if sold.

1.7. Irrecoverable and doubtful debts

- Irrecoverable debt is a debt due from a customer which it is expected will never be paid to them.
- When the debtor has become bankrupt and is unable to pay
  - DR : Irrecoverable debt account
  - CR : debtor
- At end of the financial year, this balance will be transferred to the income statement as an expense.
  - DR : income statement
  - CR : irrecoverable debts

Irrecoverable debts accounts

2020		$	2020		$
Nov 1	Debtor 1	xxx	Dec 31	Income Statement	xxx
	Debtor 2	xxx			
		xxx			xxx

- The irrecoverable debts are deducted from the trade receivables in the SOFP.
- Irrecoverable debts recovered
  - A debt that has been written off as irrecoverable may be recovered at a later date if the customer is able to pay
  - The debt must first be recorded once more on the sales ledger via journal entry
    - DR customers account
    - CR irrecoverable debts recovered
  - Once the amount has been received
    - DR : cash book
    - CR : customers account
- The balance of irrecoverable debts recovered account will be credited in the income statement, it must be shown after gross profit added as part of other incomes.
- Provisions for doubtful debts
  - a debt due from a customer where it is uncertain whether or not it will be repaid by them, it may eventually be irrecoverable. It would therefore overstate the assets if this is not removed making the SOFP misleading however it may be wrong to write it off as an expense as its not yet irrecoverable.
- When the provision is first created :
  - DR : income statement
  - CR : provision for doubtful debt

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- Afterwards in the year following any increase in the amounts will be DR in the income statement and CR in the provision for doubtful debts, (treated as an expense), while in the case of a decrease in the amount the reverse is followed hence (treated as an income).
- The provision for doubtful debts is deducted from the trade receivables in the SOFP.
- How to calculate the amount of a provision for doubtful debts :
  - *Specific* – the provision will be equal to the total of those doubtful debts, this amount is based on specific knowledge the owner has of the customers financial position.
  - *General* – provision calculated as a percentage of the total trade receivables.
  - *Specific and general* – provision is made up of debts that are thought to be doubtful plus a % of the remainder.
- Specific provisions must always be deducted from trade receivables first, before the general provision is calculated. [total receivables – specific] x general% = general provision.

Provision for doubtful debts account

	$		$
Balance c/d (transferred to SOFP)	xxx	Balance b/d	xxx
		Income statement (increase in provision)	xxx

- Provisions for doubtful debts and the concepts
  - **Prudence** – the trade receivables should not be overstated in the SOFP, the IS should hence provide for the loss and not overstate profit.
  - **Matching** – the possible loss of revenue should be provided in the relevant period in which the revenue was earned.

1.8. Bank reconciliation statements

What is a bank reconciliation statement?

- This is a statement that is prepared periodically to ensure that the bank account in the business cash book matches the business bank account shown on the bank statement.
- This may be due to
  - Timing difference – delay between items being entered in the cash book and the entry on the bank statement
  - Items on the bank statement that have not been entered in the cash book (bank charges, interest, direct debits, standing orders, et).
- How to prepare a bank reconciliation statement?
  - Compare the entries in the cash book with the bank statement. Check out the ones that coincide with both places
  - Enter into the cash book the items that remain unticked in the bank statement and then calculate the updated cash book balance accordingly.
  - Prepare the reconciliation statement. First start with the balance on the bank statement and adjust for any items that are unticked in the cash book. The result should equal with the balance in the updated cash book.
- Therefore this figure will now be able to be recorded In the statement of financial position.
- This division of duties is called internal check in which external auditors rely on to help them verify the accuracy of the financial data
- Unpresented cheques are cheques payments recorded in the cash book but not yet appearing on the bank statement
- Uses of bank reconciliation
  - Reveal the correct amount of cash at bank, without the reconciliation the bank statement and cash book will be misleading.
  - Ensure that the correct bank amount is entered in the statement of financial position
  - They are a crucial system of control – unintended drawings can be avoided, surplus of cash at bank can be highlighted, if reconciliations prepared regularly errors can be discovered early.
  - Since its prepared by someone else, the chances of fraud is reduced.
- The formats for the reconciliation include

Bank reconciliation statement at 31 march 2016

	$	$
Balance as per bank statement		xx
Add: items not credited in the bank statement		xxx
		xxx
Deduct: cheques not presented	xxx	
	xxx	(xxx)
Balance as per cash book		xxx

Alternative format : Bank reconciliation statement at 31 march 2016

	$	$
Balance as per cash book		xx
Add: unpresented cheques	xxx	
Deduct: items not credited on the bank statement	(xxx)	
	xxx	(xxx)
Balance as per bank statement		xxx

1.9. Control accounts

- Control accounts contains the totals of all postings made to the accounts in a particular ledger.
- These are usually maintained for sales and purchase ledgers, the totals of the books of prime entry are made to the ledger, hence the balance of the control account should equal to the total of the balance of the ledger it controls.
- A control checks on the arithmetical accuracy of a single ledger while a trial balance checks the accuracy of all the ledgers. Not part of the double entry.
- A difference between a control account balance and the total of the balance of the ledger it controls, helps show where a cause of a difference on a trial balance may be found.
- The Purchase Ledger and Its Control Account (trade payables control acc)

Purchase ledger control account

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Bal b/d (total of purchase ledger dr balances from previously if any)	Bal b/d
Purchase returns (purchase returns journal)	Total credit purchases (purchase journal_
Cash paid to suppliers (cash book)	Refunds from supplied (cash book)
Cash discounts received (cash book)	Interest charged on overdue invoices (purchases journal)
Purchase ledger bal set off (journal)	Total of dr balance (if any) at end of period in purchase ledger c/d
Balance c/d (to agree with the total of cr balance in purchase ledger)	

- Debit balances in the purchase ledger must never be netted against (deducted from) the credit balances. The credit balances come under current liabilities as trade payables while debit balance are under current assets as trade receivables In the SOFP.
- only credit purchases are entered in the purchase ledger control account. No cash purchases are entered.
- The sales ledger and its control account (trade receivables control account).

Sales ledger control account

Bal b/d	Bal b/d (total of sales ledger credit balance)
Credit sales (sales journal)	Sales returns (total of sales returns journal)
Refunds to credit customers (cash book)	Cash received from credit customers (cash book)
Dishonoured cheques (cash book)	Cash discounts allowed (cash book)
Interest charged on overdue acc (sales journal/cash book)	Irrecoverable debts (journal)
Total of credit balance (if any)	Sales ledger balances set off (journal)
c/d	Balance c/d to agree with total of debit balances in sales ledger

- Only credit sales should be entered in the sales ledger control account. Never enter cash sales or provisions for doubtful debts in a sales ledger control account.
- Reasons why a credit balance may occur in a customers account [if reversed between buyer and seller, reasons why debit balances occur in a suppliers account]
  - Customer may have overpaid their invoice
  - Customers may have paid in advance
  - Customer may have paid invoice in full and later returned some or all of the goods
- Uses of control account
  - It alerts possible errors in the ledgers they control if totals of the balances
  - May identify the ledger in errors have been made
  - Totals of trade receivables and trade payables are provided quickly
  - Reduces fraudulent activity as a control account is prepared by someone not involved in maintaining ledgers [internal check].
  - When businesses don't maintain full double entry systems, control accounts are a vital part of preparing financial statements.
- Limitations of using control account
  - Control accounts may contain errors themselves
  - They don't guarantee the accuracy of individual ledger accounts.
  - It may add to business costs although a computerised accounting system will prepare it automatically, individual with specialist knowledge is required to verify the accuracy.
- How to reconcile control accounts with ledgers
- When there's a difference between the balance on the control account as well as the total of balance on the ledger it controls, it has to be reconciled
  - Error of omission: If a transaction is omitted from a journal, it will be omitted from the personal account in the sales or purchase ledger and from the control account. Both records will be wrong and the control account will not reveal the error, hence it will be adjusted in both places
  - Error of original entry: if a transaction is incorrectly entered in a journal, this error will be repeated in the ledger it controls and hence in the control account. Both records will be wrong and the control account will not reveal the error; both will need to be adjusted.
  - If an item is copied incorrectly from the journal to a personal account in the sales of purchase ledger, the control account will not be affected, and it will reveal the error.
  - If the total in a day book is incorrect, the control account will be incorrect but the sales or purchase ledger will not be affected. The control account will reveal that an error has been made.

1.10. Incomplete accounts

- Incomplete records: Any method of recording transactions that is not based on the double-entry model. Usually maintained by small business owners who lack sufficient knowledge of double entry hence resort to single entry bookkeeping.
- Capital is calculated by listing the assets and liabilities in a statement of affairs. This is similar to a SOFP. However, in the statement of affairs the assets and liabilities are only listed. Headings such as non-current assets or current liabilities are not included.
- Profit/(loss)= closing capital + drawing in the period – new capital introduced – opening capital
- Capital or net assets = assets – liabilities
- When an asset is valued at more or less than cost, it should be included in a statement of affairs at valuation
- Preparing an income statement and a statement of financial position from incomplete records
  - prepare opening statement of affairs, this allows opening capital to be calculated
  - prepare receipts and payment account(similar to a cash or bank account), this is needed to calculate the closing bank/cash balances for the closing SOFP
  - prepare control accounts for trade receivables and trade payables in order to calculate sales and purchases
  - Adjust the receipts and payments for accruals and prepayments at the beginning and end of the period.
  - Calculate provisions for doubtful debts, depreciation and any other matters not mentioned above.
  - Prepare the income statement and statement of financial position from the information now available.

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- Valuing the inventory at selling price goes against three important accounting principles:
  - realisation – profit was shown as realised in the year ended 31 December 2015 even though no sale had taken place.
  - matching – the profit has not been matched to the time the sale took place.
  - prudence – the profit was overstated in 2015; it was not even certain then that the goods could be sold at a profit.
- It is an important principle that inventory should never be valued at more than cost. Valuing inventory at historic cost observes the principles of realisation, matching and prudence.
- Another important principle is that the method used to value inventory should be used consistently from one accounting period to the next.
- Incorrectly valuing inventory, either by mistake or deliberately, will result in the income statement showing the wrong gross profit and profit for the year as well as the current assets in the SOFP will be incorrect. Which is hence misleading leading to wrong decisions being made.
- Inventories should be valued at the lower of cost and net realisable value. Cost has already been considered. net realisable value is the price that may be expected to be received from the sale of the goods, less the cost of putting them into a saleable condition.
- Margin and mark-up
  - Margin is gross profit expressed as a percentage or fraction of selling price:
    - Profit/selling price x 100
  - Mark-up is gross profit expressed as a percentage or fraction of cost of sales.
    - Profit/cost price x 100
- If margin is 1/3 then markup is 1/(3-1)=1/2
- If markup is 1/6 then margin is 1/(6+1)=1/7
- Markup and margin is useful in calculating inventory lost in fire or theft.
- Advantages of keeping full accounting records
  - Allows financial statements of business to be prepared quickly soon after year end
  - Allows financial statements to be prepared more than once a year which may help the manager run more efficiently
  - Helps guard against errors and possible fraud by employees as inventory or cash loss can be picked up early
  - Accuracy of the ledgers can be improved
  - May be a legal requirement to keep certain records
- Disadvantages of keeping full accounting records
  - Time taken to set up and maintain them
  - Cost of purchasing a computer package along with training cost
  - Business owners may lack expert knowledge on how to prepare double entry which may lead them to employ a specialist which may be costly.
- How far owners go to keeping financial records for business depends on
  - Accounting knowledge and skill of owner
  - Time available to write up records
  - Cost of employing a member to prepare accounting records

1.11. Partnership accounts

- A partnership is formed when two or more people carry on business together with the intention of making profit
- Partnership agreement: An agreement, usually in writing, setting out the terms of the partnership
- Partnership Act 1890: The rules which govern a partnership in the absence of a formal partnership agreement
  - All partners are entitled to contribute equally to the capital
  - Partners aren't entitled to interest on capital
  - Partners aren't entitled to salaries
  - No interest charged in their drawings o Partners will share profit and losses equally
  - Partners entitled to interest at 5% per annum on loans made to partnership (this will be considered as an expense and treated as any other loan; debited into the income statement)
- Appropriation account: An account prepared after the income statement. It is used to show how the profit for the year is divided between each partner.
  - Partnership salary : a share of the partnership profit for the year paid to one (or more) of the partners in addition to their normal profit share usually for extra skill or work undertaken, these are never debited to the income statement as expense.
  - Interest on partners capital : A share of the profit for the year (usually) based on a percentage of the amount of fixed capital each partner has contributed to the partnership
  - Interest on drawings: A charge made on the annual drawings made by each partner, usually calculated as a percentage of the drawings made.

Draft of appropriation account

	$	$
PRofit for the year		xxx
Add: Interest on drawings - A	xxx	
- B	xxx	xxx
		xxx
Less: Interest on capital - A	xxx	
- B	xxx	(xxx)
Less: Partners salaries - A		(xxx)
		xxx
Profit share - A (profit share %)	xxx	
- B (profit share %)	xxx	(xxx)
		0

- Preparing partnership accounts
  - Capital account An account to record the sum of money which a partner introduces into the partnership. It is only adjusted for any further capital introduced, any capital withdrawn, any share of goodwill or any profit on the revaluation of partnership assets. Partnership capital account

	A	B		A	B
Capital Withdrawn			Balance b/d (profit from share from appropriation acc)		
:pss share (from appropriation acc)			Capital introduced		
Revaluation loss			Revaluation gain		
Balance c/d					

- Current account: An account which records a partner's share of profits and any drawings made by them. Partners current account

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	A	B		A	B
	$	$		$	$
Drawings	x	x	Balance b/d	x	x
Interest on drawings	x	x	Interest on loan	x	x
Balance c/d	xxx	xxx	Interest on capital	x	x
			Partners salary	x	x
			Share of profit	x	x
	xxx	xxx		xxx	xxx
			Balance b/d	xxx	xxx

- Drawings account
  - If partners do not maintain current accounts, the double entry for interest, their salaries and shares of profit must be completed in their capital accounts
  - Advantages of partnerships
    - The capital invested by partners is often more than can be raised by a sole trader.
    - A greater fund of knowledge, experience and expertise in running a business is available to a partnership.
    - A partnership may be able to off er a greater range of services to its customers (or clients).
    - The business does not have to close down, or be run by inexperienced staff , in the absence of one of the partners; the other partner(s) will provide cover.
    - Losses are shared by all partners.
  - Disadvantages of partnerships
    - A partner doesn't have the same freedom to act independently as a sole trader has.
    - A partner may be frustrated by the other partner(s) in their plans for the direction and development of the business.
    - Profits have to be shared by all partners.
    - A partner may be legally liable for acts of the other partner(s)

1.12. Partnership changes

- When partners agree to change the profit/loss share
  - The profits/losses incurred before the change in the shares must be shared among the partners in the old profit share ratio, afterwards once the change is imposed the profit/loss following must be shared in the new ratio. Hence causing realised or unrealised profit or losses to occur.
  - Realised profit/loss : recognised in the income statement such as revenue or expenses these are apportioned on a time basis however exceptional cases such as a change in the interest of a partners loan would require it to be apportioned on an actual basis o Unrealised profit/loss : gains/losses arising from revaluation of assets and liabilities at the date of the change resulting in adjustments to partners capital.
- Revaluation of an asset in a partnership : this is done to reward the existing partners for their efforts in building up the business over its life. In the case the partner retires it is only fair they are rewarded for their efforts as well
  - step 1 : DR revaluation account CR asset account(book value of being revalued)
  - step 2 : CR revaluation account DR liability account(book value of the liability)
  - step 3 : CR revaluation account DR asset account(new value of the asset)
  - step 4 : DR revaluation account CR liability account(new value of the liability)
  - an alternative method could include
  - Revaluation account

Decrease in asset value	Increase in asset value
Increase in liability value	Decrease in liability value
Profit on revaluation	Loss on revaluation
- Partner A	- Partner A
- Partner B	- Partner B

- The remaining balance will be the profit or loss on revaluation which will be shared between the partners in the current profit sharing ratio in the capital account
- If the balance was on the debit side it will be a profit on revaluation, if the balance was on the credit side it will be a loss on revaluation.
- Accounting for goodwill : Goodwill is the amount by which the value of the entity or partnership as a going concern exceeds the net value of its assets if they were sold individually. It is an intangible asset
- There are two types of goodwill : purchased goodwill and inherent goodwill
- Purchased goodwill arises when one business buys another, if the purchaser pays more then the net book value of the assets the difference is goodwill, IAS allows this to be shown as an intangible non current asset in the SOFP
- Inherent goodwill is internally generated and is not paid for and so does not have an objective value.
- Goodwill is never brought into the revaluation account or current account.
- Goodwill is not recorded for two reasons; value placed on goodwill is difficult to justify and if goodwill is included it would be difficult to convince a buyer to pay more for the business.
- When there's a change in the partnership (change in profit sharing ratio or admission/retirement of an existing partner) goodwill will need to be adjusted, the following could be done :
  - Goodwill could be opened and maintained: DR goodwill CR old partners capital [old ratio]
  - Or goodwill account can be opened and removed subsequently
    - Step 1 : CR partners capital account with share of goodwill in the old profit sharing ratio DR goodwill
    - Step 2 : DR partners capital account with share of goodwill in the new profit share ratio CR goodwill
    - Capital account

	X	Y	X	Y	
Goodwill (shared in new ratio; step 2)	xxx	xxx	Goodwill (shared in old ratio; step 1)	xxx	xxx

- When apportioning profit while there's a change in the profit share ratio in the middle of the financial year

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- If the profit is assumed to have been earned evenly throughout the year, it should be divided between the old and new partnerships on a time basis
- Some expenses may not have been incurred on a time basis and must be allocated to the period they belong these expenses will be specified, this can be done by splitting the gross profit between the two trading periods before and after the change in the terms of agreement
- Admission of a partner/when a partner leaves
  - When a partner leaves or a new partner joins, it suggests the end of partnership and the start of a new one, the following accounts must be taken care of
    1. Asset revaluation – calculate the profit/loss on revaluation
    2. Adjustments for Goodwill
    3. Prepare the income and appropriation account for the two periods before and after the admission
    4. Changes in the profit share ratio
    5. Prepare the current account
- Death/retirement of a partner
  - The following takes place when a partner retires
    - Revaluation of the assets and liabilities
    - Goodwill adjustment
    - Settlement of retiring partner : transfer the current account balance of the retiring partner to the capital account
  - After revaluation and goodwill entries in the capital account balance the retiring partners column in the capital account the missing figure is the amount payable to the retiring partner, shown below
    - A pay cash or cheque DR retiring partners capital CR cash/bank
    - B retiring partner takes asset of the business DR retiring partner capital account CR asset account
    - C transfer amount payable to a loan account by DR retiring partners capital account CR loan a/c
- Partnership dissolution
  - This is the process by which all the assets of the partnership are sold and liabilities paid where the partnership ceases trading
  - Reasons for dissolution
    - Partnership is no longer profitable
    - Partners disagree on borrowing the partnership and can no longer work together
    - Partner has died, retired or being declared bankrupt and remaining partners agree to close down the business
    - When a partnership business is being taken over by a limited company or by another partnership or being merged with another business
  - Steps involved with partnership dissolution
    - Transfer all assets and liabilities to the realisation account except the bank balance. Realisation account: An account prepared when a partnership is ceasing to trade, to record the book value of the assets and liabilities and how much is received for them if sold, or paid out in respect of liabilities. The result will be a profit or loss on realisation.
    - Enter the bank balance in the bank account
    - Enter the capital balance in the capital account
    - If there is a current account balance transfer them to the capital account
    - Show all the entries related with the sale of the asset settlement by DR bank CR realisation
    - Show the entries of the dissolution expenses by DR realisation account CR cash/bank
    - Balance the realisation account and transfer it to the capital account, if the balance is one the debit side of the realisation then it is a realisation profit and should be credited to the capital account in the profit sharing ratio.
    - Balance the partners capital account and transfer the missing figure to the bank account
    - The bank account should balance

DR realisation CR asset account DR liabilities CR realisation Realisation Account

$	$
Non current asset (at cost)	Trade payables
Inventory	Other payables
Trade receivables	
Other receivables	

Capital account entries for admission, exit and dissolution of partnership.(Some entries may not apply to all situations. e.g no capital will be brought in during dissolution). Following normal ledger format. Left debit and right credit.

Loss on realisation/ revaluation	Bal b/d
Current account(positive balance)	Profit on realisation/ revaluation
New goodwill	Old goodwill
Asset taken by partner	Current account(negative balance)
Partners loan	Bank/capital brought in by partner
Bank	
Bal c/d	

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1.13. Limited companies

- A limited company is a separate legal entity whose existence is separate from its owners; the liabilities of the members are limited to the amounts paid (or to be paid) on the shares issued to them i.e. limited liability
- when a company is formed certain documents are registered by people who are the founders with the registrar of companies and various fees and duties are paid to the registrar
- the two documents needed are the articles of association (this is the main constitutional document of a company that defines the existence of the company and regulates the structure and control of the company and its members) and the memorandum of association (this forms part of the article and defines the relationship of the company to the rest of the world)
- the main difference between private and public companies is that public companies are allowed to offer their shares to the public and may arrange for the shares to be bought and sold on the stock exchange while private companies cannot.
- Capital structure of a limited company
  - Authorised share capital – the share capital the company is allowed by law to issue to the public.
  - Issued capital – total amount the company has issued on the stock exchange
  - Called up capital – the amount of shares taken up by shareholders without having to pay the entire amount, usually in instalments
  - Paid up share capital – part of share capital for which the company has actually received cash from shareholders
- Classes of shares
  - Ordinary share capital – also known as equity of the company, they are entitled to attend the AGM and vote on propositions, they are paid a dividend on the profit that remains after preference dividend id paid, they are hence the risk takers as they may not receive dividends at all, all the reserves also belong to them
  - Preference share capital – a share which doesn't give the owner any ownership rights in the company, dividends are normally received at a fixed rate, payable before dividends to ordinary shareholder. These may be redeemable of non redeemable, if its redeemable companies can buy back the shares and hence will appear under non current liabilities. Non redeemable would mean the company cannot buy them back and will appear as equity along with ordinary shares.
    - Non cumulative preference share – not entitled to have any arrears of dividends carried forward to future years if profits are insufficient to pay dividends in full
    - Cumulative preference shares – entitled to have arrears of dividends carried forward to future years If profits are insufficient
- Shares issued at a premium – this is the excess over the nominal or par value of a share when it is issued, this is known as a capital reserve and is hence non distributable: DR bank/cash account (with the total cash received for the issue)
- CR share capital account (with the nominal value of the share)
- CR share premium (with the premium received)
- Revenue reserves – The profits made by a company which have not been distributed to shareholders, these are created by transferring an amount from profit for the year. These may be created for a specific purpose (replacement of non current asset, planned expansion, etc) or general reserve to strengthen the financial position of the company. These are usually distributable and used to pay dividends; retained earnings and general reserve come under this class of reserve
- Capital reserve - Gains which (usually) arise from non-trading activities, such as the revaluation of a company's non current assets, they represent gains that haven't been realised yet, these may include
  - Share premium – usually to pay up unissued shares to existing shareholder as fully paid bonus issue, to write off expenses arising on new share issue at premium and to write off any commission paid on new share issue at premium
  - Capital redemption reserve – created when a company redeems or buys back shares from existing shareholders without using the proceeds from issue of new shares created by DR retained earnings CR capital redemption
  - Revaluation reserve - A company may revalue its non-current assets and any gain on the revaluation must be credited to a revaluation reserve; it is an unrealised profit and must not be credited to the income statement. May be used in bonus issues.
- Income statement for a limited company as per IAS 1

X's income statement for the year ended .....

	$
Revenue	
(-) cost of sales	
Gross profit	
(+) operating income	
(-) distribution costs	
(-) administrative expenses	
Profit/loss from operations	
(+) finance income	
(-) finance cost	
Profit before tax	
(-) taxation	
Profit for the year	

- The statement of financial position as per IAS 1

X Limited's statement of financial position as at .....

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	$
Non current asset (net book value):	
Plant Property Equipment	
Intangible assets (goodwill)	
Long term investments	
Current assets:	
Inventory	
Trade receivables	
Other receivables	
Short term investments	
Cash and cash equivalents	
Total assets	
Equity:	
Ordinary share capital	
Retained earnings	
Share premium	
General reserve	
Non current liabilities:	
Bank loans	
Debentures	
Current liabilities:	
Trade payables	
Other payables	
Tax payable	
Bank overdraft	
Total equity and liabilities	

- The above format is for accounts which will be published by the company and available for the general public to look at, internal accounts will be in much more detail than this.
- IAS 1 allows for alternative ways of setting out the statement of changes in equity. One such alternative is to prepare a statement of recognised income and expenses. This is much less detailed, as it includes such things as the profit for the year and gains on revaluation of non-current assets. But no dividends paid or share issue
- Statement of changes in equity
- This is a statement prepared to show the changes in a company's share capital, reserves and retained earnings over a reporting period.

Statement of changes in equity for the year ended ...

	SHARECAPITAL	SHAREPREMIUM	GENERALRESERVE	RETAINEDEARNIN
OPEN BAL	X	X	X	X
PROFIT				X
DIVIDEND				(X)
SHARE ISSUE	X	X		
RIGHTS ISSUE	X	X		
BONUS ISSUE	X	(X)		
TRANSFER TO GENERAL RESERVE			X	(X)
TOTAL (BAL C/D)				

- Any dividends that proposed will not be shown in the financial statements
  - Provisions are an amount set aside out of profits to reduce the recorded value of an asset or to cover an expected liability even if the exact amount or timing of the liability is uncertain.
  - Dividends of two types, interim dividends and final dividends, interim dividends are paid to existing shareholders during the year given the directors are satisfied with the profits and cash resources are sufficient while final dividends are paid after the end of the financial year while director can only recommend the amount of dividend to be paid, shareholders must approve the payment
  - Distributable profits consists of accumulated realised profits which has been undistributed and its accumulated realised loss which haven't been previously written off.
- Difference between shares and debentures

Share	Debentures
Shareholders are members of the company.	§ Debenture holders are creditors to the company
Shown in the statement of financial position under equity	Shown in the SOFP under non current liability
Shareholders are the last people to be repaid when a company is wound up	Debenture holders are entitled to be repaid before shareholders are wound up
Dividends can only be paid if distributable profits are available	Interest on debentures must be paid even if no profits are made
Dividends are an appropriation of profit.	They receive an interest which is shown under finance cost as an expense in the income statement

- Bonus share issue – this is an issue of free shares to existing shareholders from the accumulated reserves of the company usually in proportion to the existing ordinary shares using their reserves with no payment
- The capital reserves are used for this (share premium)
  - Share capital will increase on the SOFP
  - Reserves will decrease

Example : if directors made a bonus issue of shares on the basis of three for every five shares held

3/5 x the number of issued shared x par value

DR reserves CR share capital

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If its in the most flexible form the least flexible reserves are used first the least being share premium and most flexible being general reserve.

- Rights issue – the purpose of rights issue is to raise finance further for the company, this offers existing shareholders opportunity to purchase additional shares at a price below the current market price, the shareholders can either take up the shares and pay for it or sell the rights on the stock market.

Example, the company made a rights issue of one new share for every five shares already held. Then

1/5 x no. of issued shared x selling price

DR cash/bank [total amount received]

CR share capital [rights issue x par value]

CR share premium [rights issue x share premium]

Rights and bonus issues compared

Rights issue	Bonus issue
Subscribers pay for shares	§ Shareholders don't pay for shares
The company net assets increased by cash received	The net assets of the company are unchanged
Shareholders do not have to exercise their right to subscribe for the new shares	All the ordinary shareholders will receive their bonus shares
Shareholders may sell their rights if they do not wish to exercise them	Shareholders may sell their bonus shares if they do not wish to keep them

- Other sources of finance for a limited company may include
  - Bank loans
  - Bank overdrafts
  - Hire purchase - Hire purchase enables a purchaser to have the beneficial use of an asset while the ownership of the asset remains with the hire purchase company, at the end of the agreement the company may own the asset
  - Leasing – the asset is leased to the company for a rental charge by a leasing company who will own the asset, the asset will never be owned by the company
  - Long term capital
  - Trade payables
  - Working capital

1.14. Analysis and communication of accounting information to stakeholders

- Stakeholder concept : individuals who are interested in the decisions taken by the business and are as a result affected by it

Internal stakeholders	Reasons for interest
Owner [in the case of a sole trader or partnership]	To assess business performance. To identify areas of problem and take corrective action.
Existing shareholders	Assess overall performance. Consider the security of their investment. Return in terms of dividends and capital growth
Managers and directors	Salary and bonus often linked with business performance.
Workers	To see if future pay or salary increases will be made and if they have job security
External stakeholders	Reasons for interest
Banks	Assess if loan overdraft should be granted. Interested to see if the business can be able to pay back existing loans
Future shareholders	Comparing several returns from several businesses and decide which to invest in
Investors [an individual who has been asked by the owner to invest fund]	Determine the return they will receive and the security of any investment
Supplier of the business	Whether or not to supply to the business. To check if the business is liquid enough to pay back
Customers of the business	Assess performance to see if business will be able to supply to them In the future
Government	Level of tax charged on profit. To decide whether or not to give a grant. Check if business is in compliance with laws and regulations
Local community	If the business will provide employment
Trade unions	Assess their profitability to see if their members pay could increase
General community	Whether or not the business is operating ethically

- The purpose of financial statements, such as the income statement and statement of financial position, is to present information in a meaningful way. To be useful, information must be clear, complete, reliable and timely.
- Limitations of published accounts
  - Not clear to people who have insufficient knowledge on accounting
  - Information given isn't complete, crucial data may be confidential.
  - Comparability is limited as accounting policies used differ
  - Historic nature; information relates to past and circumstances may have changed.
- Accounting ratios

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- Profitability ratios
  - *Return on capital employed*
    - Formula:
      - Operating profit/capital employed*100
    - Comment: how much profit was generated per 100 dollars invested in the form of equity, reserves and long term liabilities. This measures the overall efficiency of a company in employing the resources available to it, this should be compared with the previous years ROCE, with competitors and the industry average. The higher it is the better, this indicates the business is efficiency managing its equity.
  - *Gross margin*
    - Formula:
      - gross profit/revenue*100
    - Comment: how much gross profit was generated per 100 dollars in sales, how efficient the trading activities of the business. The higher the figure the greater the business is at converting revenue to gross profit. A lower gross profit would indicate that
      - A rise in the price of goods purchased which weren't passed onto customers.
      - Purchase of goods from a difference supplier at a higher price.
      - Selling price may have been cut to increase volume of sales, to fight competition, as an introductory offer for a new product, as a result of seasonal sales, to get rid of old inventory, to increase cash flow.
      - The cost of sales may have increased by the theft of inventory.
  - *Profit margin*:
    - Formula:
      - profit for the year/sales X 100
    - Comment: how much profit is generated from revenue, this indicates how efficiently the business can convert revenue to profits, a lower percentage would indicate that the business has not been able to control its expenses.
  - *Mark up*
    - Formula:
      - gross profit/cost of sales * 100
    - Comment: how much business has marked up costs before arriving at the selling price. A fall in this ratio is bad for the company as it indicates they may have has to buy from more expensive suppliers and unable to pass the full increase in purchase price to its customers. A business may have had to reduce its mark up because of more competition.
  - *Expenses to revenue ratio*
    - Formula:
      - operating expenses/revenue *100
    - Comment: how effective are the managers in controlling business expenses. In some cases. overheads may increase as a percentage of sales, but the increase may not match the increase in gross margin. The reason is that most overheads, such as rent, do not vary as a result of an increase in sales. Other overheads may vary although not in proportion to sales.
- Liquidity ratios
  - *Current ratio*
    - Formula:
      - Current assets/current liabilities : 1
    - Comment: shows the relationship between current assets and current liabilities, if the business is liquid enough to pay creditors. A higher ratio may indicate the business has enough funds to pay the current liabilities. A favourable range for this ratio would be 1.5-2 : 1. But this depends on the kind of business, a low ratio could mean danger, a high ratio could mean the resources aren't put to efficient use and capital is lying idle as a result instead of being used profitably.
  - *Liquid ratio [acid test ratio]*
    - Formula:
      - current assets - inventory/current liabilities : 1
    - Comment: excludes inventory from the calculation and shows liquid assets that is available to pay the current liabilities. A good range would be 1-1.5 : 1. Businesses like supermarkets would expect their sales on a daily basis having a constant inflow of cash, while they enjoy a period of credit to pay suppliers their ratio may not exceed 0.8:1. A motor manufacturer on the contrary would have more current assets then current liabilities making it seem unfavourable without knowing the business, hence making acid test ratio more suitable.

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- Efficiency ratio
  - Non current asset turnover
    - Formula:
      - net revenue/total net book value of non current assets
    - Comment: number of times the non current assets are turned over, how well the non current assets are used to generate revenue. The main reason for purchasing a non-current asset is for it to either generate revenue for the business or reduce cost, both of which will hopefully increase the profit. The higher the ratio is better.
  - Trade receivables turnover [in days]
    - Formula:
      - trade receivables/credit sales * 365
    - Comment: how long it takes credit customers to pay back (credit period). The longer customers take to pay, the company may be losing control over its customers and deteriorating cash flow, the risk of incurring irrecoverable debts is higher.
  - Trade payables turnover [in days]
    - Formula:
      - trade payables/credit purchases*365
    - Comment: length of time the business takes to pay its creditors. The longer it takes to pay its creditors would mean that cash outflow would be less, however this may result in suppliers may withdraw their credit facilities in the future.
  - Inventory turnover [in days]
    - Formula:
      - average inventory/cost of sales * 365
    - Comment: how it takes for the inventory to be sold. The quicker the inventory is sold, the sooner the profit is realised and the more times profit is earned. A slow turnover would mean excessive inventory is held and risk of obsolete or spoiled inventory increases, hence inventory being locked up would mean it is not earning revenue. Days must be rounded up.
  - Rate of inventory turnover times
    - Formula:
      - cost of sales/average inventory
      - Average inventory is found by adding up the opening and closing inventory divided by 2.
    - Comment: the number of times a year the inventory is turned over. Businesses like supermarkets would have a higher turnover than a for instance a business like a diamond retailer.
  - Working capital cycle
    - Formula:
      - inventory days + trade receivables days - trade payables days
    - Comment: The working capital cycle measures the time it takes for cash to circulate around the working capital system. It calculates the interval that occurs between the time a business has to pay its creditors (trade payables) and the time it receives cash from its customers.
- Limitations of ratio
  - Some useful information may not be disclosed
  - Information may not be timely available only available at year end
  - Ratios don't explain the cause of the change in results
  - Ratios don't recognise seasonal factor

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